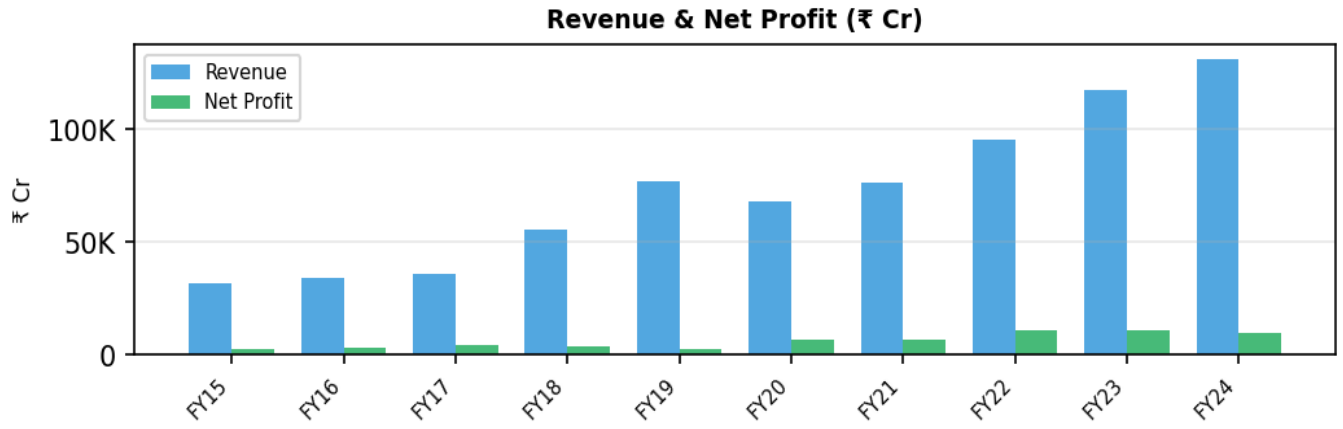
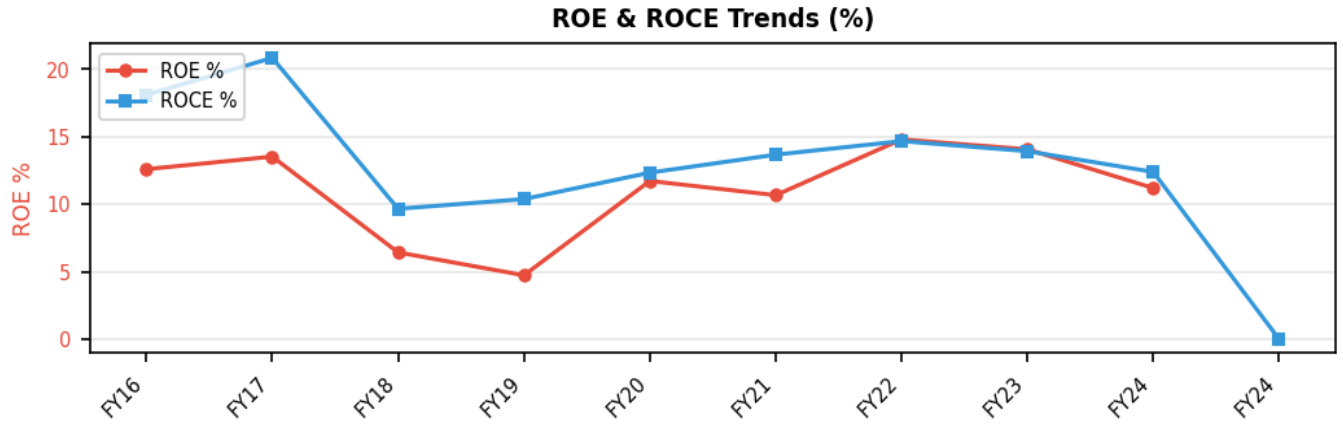
Grasim Industries Ltd

GRASIM | Industrials | FY Basis: Sep 2024

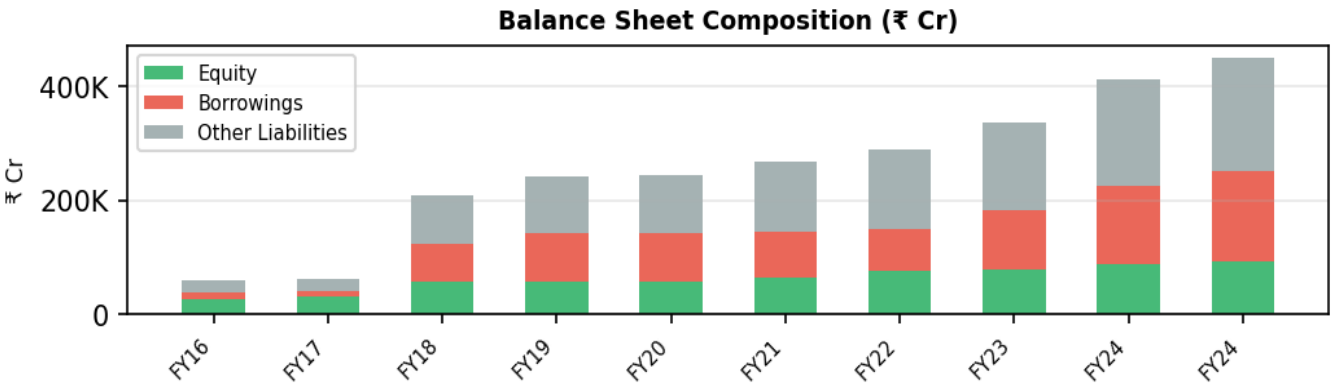
Generated: 14 Oct 2026

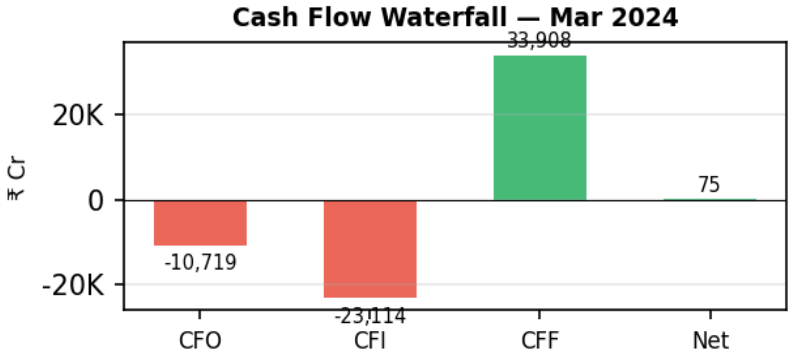
N/A ROE %	**0.0%** ROCE %	**N/A** Net Profit Margin
1.70 D/E Ratio	**11.2%** Rev CAGR 5yr	**N/A** FCF





Grasim Industries Ltd — Detailed Analysis





Strengths

- Debt-free balance sheet provides financial flexibility and eliminates interest burden
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Risks

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation Pattern

Growth Funded by Debt